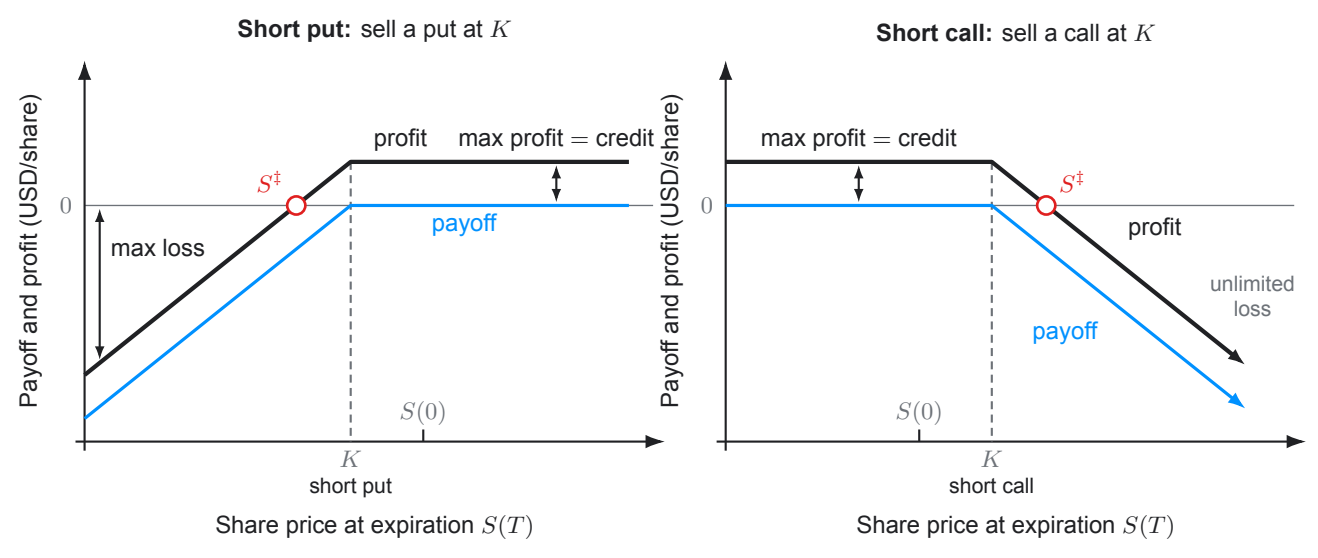
Short put: sell a put at K
Payoff and profit (USD/share)
0
profit
max profit = credit
$S^\ddagger$
payoff
max loss
$S(0)$
K
short put
Share price at expiration $S(T)$
Short call: sell a call at K
Payoff and profit (USD/share)
max profit = credit
0
$S^\ddagger$
profit
unlimited loss
payoff
$S(0)$
K
short call
Share price at expiration $S(T)$